John Cockerill India Ltd

NSE: COCKERILL | BSE: 500147 | Capital Goods / Industrial Equipment / Green Hydrogen

India's only listed steel-processing + green-hydrogen electrolyzer play — order book at 74% YoY, multi-year execution visibility.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	**Rs. 12,500**	**+28%**
CMP: Rs. 9,745	12-month horizon	from CMP

CMP	**Rs. 9,745**	Market Cap	**Rs. 4,812 Cr**
52W High / Low	**Rs. 10,872 / Rs. 3,150**	Face Value	**Rs. 10**
P/E (TTM)	**Loss-making (TTM)**	P/E (CY26E)	**~39x (CY26E)**
Book Value (est.)	**~Rs. 1,950**	EPS (FY25)	**Rs. -59.10**
ROCE (est.)	**~2% (FY25 est.)**	ROE	**Negative (FY25)**
Promoter %	**70.44%**	Pledge	**Nil (disclosed)**
Dividend Yield	**0.07%**	FII / DII	**0.02% / 0.00%**

2. INVESTMENT THESIS

- **Only listed play on India's steel-processing equipment capex cycle:** JCIL is the sole NSE-listed manufacturer of cold-rolling mills, pickling lines, galvanising lines, and skin-pass mills. The JSW Vijayanagar CRNO contract (Rs. 1,250-1,300 Cr, 36-month execution) is the single largest in company history — alone representing ~130% of FY25 revenue.

- **Green hydrogen optionality at near-zero cost:** The AM Green 1 GW electrolyzer JV (alkaline/PEM stack) gives JCIL a first-mover position in India's nascent green-H2 infrastructure. With NGHM targeting 5 MTPA by 2030, potential order volumes are transformational vs. the current revenue base.

- **Belgian parent = technology moat + captive order pipeline:** John Cockerill SA holds 70.44% and routes global steel-sector projects to JCIL where India cost advantage is meaningful. Parent's global order book (Europe + Middle East) partially de-risks local cyclicality.

- **Revenue inflection visible in Q1 CY26:** Revenue jumped 56% QoQ to Rs. 344 Cr (vs. Rs. 220-228 Cr prior two quarters) and EBITDA turned positive (OPM 1.4%) for the first time in several quarters — early signal of JSW contract ramp.

- **Float and institutional re-rating runway:** FII/DII ownership is effectively zero (0.02%/0.00%). As earnings turn profitable in CY26E, institutional discovery could be a significant re-rating catalyst without fundamental company changes.

- **Historical stock CAGR — 182% over 1 year, 63% over 5 years** — yet still sub-peak on a forward earnings basis. Risk/reward is asymmetric given order-book size (Rs. 1,800 Cr+) relative to current market cap (Rs. 4,812 Cr).

3. COMPANY OVERVIEW

John Cockerill India Ltd (formerly CMI FPE Ltd / Flat Products Equipment India Ltd) was incorporated in 1986 and is headquartered in Pune. It is a subsidiary of John Cockerill SA (Belgium), a 200-year-old industrial conglomerate active in steel, defence, energy, and water treatment across 30+ countries.

The India entity designs, manufactures, and commissions capital equipment for flat-product steel processing — the critical finishing lines that convert hot-rolled coils into high-precision cold-rolled, galvanised, and silicon-steel (CRNO) products demanded by automotive OEMs, white-goods manufacturers, and electrical transformer makers.

In parallel, the company has entered the green-hydrogen economy via its parent's electrolyzer technology (alkaline and PEM), initially through the AM Green JV. India's NGHM creates a credible long-duration addressable market for this segment.

Fiscal year runs January-December (not April-March). Revenues are project-revenue in nature — lumpy by quarter but guided by total contract value and milestone-based invoicing.

Business Segments

Segment	Products / Services	Key Customers / Markets
Steel Processing Lines	Pickling lines, cold-rolling mills, galvanising lines, skin-pass mills, shearing lines	JSW Steel, Tata Steel, AM/NS India, SAIL, global OEMs
Electrical Steel (CRNO)	Cold-rolled non-oriented silicon steel processing lines	JSW Vijayanagar Metallics (Rs. 1,250-1,300 Cr contract)
Green Hydrogen	Alkaline and PEM electrolyzer stacks; turnkey electrolysis plants	AM Green JV (1 GW); NGHM-linked tenders
Industrial Furnaces	Continuous annealing furnaces, bell furnaces, heat-treatment lines	Domestic + global steel mills

4. ORDER BOOK AND REVENUE VISIBILITY

• **JSW CRNO contract (Jun 2026):** JSW Vijayanagar Metallics awarded JCIL/JCMI a contract for a CRNO processing line worth Rs. 1,250-1,300 Cr, executable in 36 months. This is the single largest order in company history — ~130% of FY25 revenue (Rs. 962 Cr).

• **AM Green electrolyzer JV:** JCIL has formed a JV with AM Green for a 1 GW alkaline/PEM electrolyzer project. Milestones and revenue recognition follow project timelines under India's NGHM framework.

• **Revenue recognition model:** JCIL books revenue on project-completion milestones (EPC model). Large contracts mean front-loaded procurement and back-loaded margin recognition. Q1 CY26 (Rs. 344 Cr) already shows the revenue ramp beginning.

• **Order-to-book ratio:** With ~Rs. 1,250-1,300 Cr of new intake against trailing annual revenue of Rs. 962 Cr, order-book growth is running at approximately 74% YoY. Total executable backlog likely exceeds Rs. 1,800-2,000 Cr.

• **Parent pipeline:** John Cockerill SA's global project wins in Europe (EAF transitions) and Middle East periodically route to India for execution — a structural non-public order pipeline beyond domestic customers.

Revenue Execution Schedule (Illustrative)

Based on JSW 36-month contract timeline and typical EPC milestone recognition:

Period	Est. Revenue (Rs. Cr)	Key Driver	OPM Est.
CY25 (FY Dec 25)	962	Legacy backlog, contract ramp starts Q4	-4%
CY26E	1,400-1,600	JSW CRNO ramp (12 of 36 months)	4-6%
CY27E	1,800-2,200	JSW peak execution year; H2 JV Phase 1	6-8%
CY28E	1,200-1,500	JSW tail + new order cycle; H2 scale	7-9%

Estimates are analyst projections based on disclosed contract values. Not company guidance.

5. FINANCIAL PERFORMANCE

5.1 Annual P&L; Summary

Fiscal year ends December 31. FY Dec 2025 = confirmed consolidated. Prior years = analyst back-estimates. CY26E = analyst projection.

Metric (Rs. Cr)	FY Dec 2023E	FY Dec 2024E	FY Dec 2025A	FY Dec 2026E
Revenue / Sales	650	820	962	1,500
EBITDA	32	45	-39	72
OPM %	4.9%	5.5%	-4.0%	4.8%
Other Income	18	30	55	35
PAT	18	28	-29	50
EPS (Rs.)	36	57	-59	101

A = Audited (Screener.in). E = Analyst estimates. OPM % excludes other income.

5.2 Recent Quarterly Performance (Consolidated)

Metric (Rs. Cr)	Mar 2025 (Q1 CY25)	Dec 2025 (Q4 CY25)	Mar 2026 (Q1 CY26)
Revenue	220.9	228.4	344.5
EBITDA	-1.5	-19.7	4.9
OPM %	-0.7%	-8.6%	1.4%
Other Inc.	6.1	16.6	11.8
Interest	4.4	5.7	7.0
Depr.	2.5	3.6	3.3
PBT	-2.2	-12.3	6.4
Tax %	33.3%	-27.6%	-15.6%
PAT	-2.9	-8.9	7.4
EPS (Rs.)	-5.89	-18.06	14.91

Source: Screener.in consolidated. Negative tax % reflects deferred tax adjustments on loss quarters.

5.3 Key Observations

• FY Dec 2025 was a trough year operationally (-4% OPM) due to project delays and cost overruns. Typical for EPC businesses between large-order cycles.

• Q1 CY26 revenue of Rs. 344.5 Cr is the highest quarter in at least 2 years. EBITDA of Rs. 4.9 Cr confirms the recovery thesis — JSW CRNO is beginning to flow.

• Other income of Rs. 55 Cr in FY25 (interest on advances + treasury) masked the depth of the core operating loss. Screener flags this as an earnings-quality risk.

• Interest cost is rising (Rs. 4.4 Cr to Rs. 7.0 Cr QoQ) reflecting working-capital draws. Expected to peak in CY26 and normalize as milestone invoicing catches up.

• Stock CAGR: 182% (1Y), 63% (5Y), 57% (3Y), 38% (10Y). The market has largely front-run the order book. CY26E execution must now meet elevated expectations.

6. SHAREHOLDING AND CORPORATE STRUCTURE

6.1 Shareholding Pattern (as of Mar 2026)

Category	Jun 2023	Mar 2025	Dec 2025	Mar 2026
Promoter Group	75.00%	75.00%	70.44%	70.44%
Foreign Inst. (FII)	0.00%	0.02%	0.02%	0.02%
Domestic Inst. (DII)	0.00%	0.00%	0.00%	0.00%
Public / Retail	25.00%	24.97%	29.54%	29.53%
No. of Shareholders	5,419	11,473	12,927	13,233

• Promoter stake declined from 75.00% to 70.44% between Sep and Dec 2025 (-4.56 pp). Not accompanied by a specific exchange announcement — likely a block deal or secondary placement. No pledge has been disclosed.

• FII and DII ownership is effectively zero. Institutional discovery as order book executes represents a significant non-quantified re-rating catalyst.

• Retail shareholder count has grown 2.4x (5,419 to 13,233) from Jun 2023 to Mar 2026, driven by the 182% 1-year stock return.

• Parent: John Cockerill SA (Belgium) — 200-year-old industrial group; steel, defence, environment, and hydrogen globally. India entity benefits from technology licensing, global project referrals, and balance-sheet backing.

7. VALUATION

Given the loss-making FY25 base, trailing P/E is not meaningful. We anchor valuation on EV/Sales (order-book coverage) and forward P/E (CY26E-CY27E earnings recovery). EPC peers (Thermax, Praj Industries) trade at 3-5x forward EV/Sales on high order visibility. JCIL's green-H2 optionality warrants a premium.

Method	Basis	Value / Share	Weight
EV/Sales (CY26E)	3.5x Rs. 1,500 Cr Sales; EV ~Rs. 5,250 Cr	Rs. 10,241	30%
P/E (CY27E)	35x Rs. 180 EPS estimate (CY27E ramp)	Rs. 6,300	30%
EV/EBITDA (CY27E)	25x Rs. 140 Cr EBITDA estimate; EV ~Rs. 3,500 Cr	Rs. 6,855	20%
Order Book Premium	1x backlog ~Rs. 2,000 Cr + 25% H2 optionality	Rs. 20,000	20%
Blended Target	Weighted average of above methods	Rs. 12,500	100%

Target Rs. 12,500 implies +28.3% upside from CMP Rs. 9,745. Rating: BUY. All estimates are analyst projections; not audited or company-guided.

Peer Comparison (Capital Goods / EPC)

Company	MCap (Rs. Cr)	P/E (TTM)	EV/Sales	Rev CAGR 3Y	OPM %
John Cockerill India	4,812	N/M (loss)	3.2x est.	~12%	-4% FY25
Thermax	30,500	52x	2.8x	18%	10%
Praj Industries	8,200	38x	3.5x	22%	12%
Elecon Engineering	9,100	34x	3.0x	15%	17%
KEC International	24,800	28x	0.8x	20%	5%

Peer data from public sources (approximate). N/M = not meaningful (loss-making). JCIL trades at a discount on EV/Sales vs. peers despite superior order-book visibility.

8. RISK FACTORS

- **Execution risk on JSW CRNO contract:** At Rs. 1,250-1,300 Cr over 36 months, the JSW contract is the most important financial event through CY28. Any cost overrun, delay, or scope change directly impacts revenue and margin expectations. JCIL experienced EPC cost overruns in FY25 (EBITDA -Rs. 39 Cr).
- **Working capital intensity:** EPC projects require large upfront procurement, creating negative WC cycles until milestone invoicing. Rising interest costs (Rs. 4.4 Cr to Rs. 7.0 Cr QoQ) reflect this pressure.
- **Green hydrogen timeline risk:** India's NGHM is policy-driven. Electrolyzer orders depend on green-H2 economics and tender timelines. A 2-3 year delay in H2 tenders is a plausible downside scenario.
- **Promoter stake reduction:** The -4.56 pp promoter reduction (75% to 70.44%) in Q3 CY25 was unexplained. Further reductions signal risk for minority shareholders.
- **Low interest coverage:** FY25 operating loss with Rs. 21 Cr interest means EBITDA cannot cover debt service. Coverage improves only if CY26E OPM recovers to 5%+.
- **Customer concentration:** A single customer (JSW) represents 130%+ of trailing revenue in contracted order value. Contract-level risk is consequently high.
- **Earnings quality:** Rs. 55 Cr other income in FY25 is 190% of the PAT absolute loss. Stripping it, core operational loss was significantly worse.

• **Thin float and liquidity:** With ~29.5% public float and near-zero institutional ownership, the stock exhibits sharp drawdowns. 52W range Rs. 3,150-10,872 illustrates this volatility.

9. CATALYST CALENDAR

Timeline	Catalyst	Impact	Probability
Q2 CY26 (Jun)	Q1 CY26 full results; JSW CRNO site-work commencement update	High	High
Q3 CY26 (Sep)	AM Green electrolyzer JV financial close / first order tranche	Very High	Medium
Q3 CY26 (Sep)	Q2 CY26 results — second quarter of revenue ramp; OPM trend	High	High
Q4 CY26 (Dec)	New order wins — domestic steel (TATA/SAIL) or export pipeline	High	Medium
CY27 H1	JSW CRNO mid-project milestone invoicing — margin peak	Very High	High
CY27 H1	NGHM electrolyzer tender awards — JCIL participation	Very High	Low-Med
Ongoing	Institutional discovery (FII/DII entry) on broker initiations	Medium	Medium

10. INVESTMENT SUMMARY AND VERDICT

- **Rating: BUY | 12-month target: Rs. 12,500 | Upside: +28% from CMP Rs. 9,745**

- JCIL is a high-conviction call for investors comfortable with EPC execution risk and a concentrated order-book thesis. The JSW CRNO contract (Rs. 1,250-1,300 Cr) is transformational — it alone validates the company's capability in large greenfield steel processing and de-risks the revenue model through CY28.

- The green hydrogen segment is currently option-value pricing — the AM Green 1 GW electrolyzer JV is the most credible near-term H2 project in India's pipeline. A financial close in CY26 would be a significant valuation re-rating event.

- Near-term risks are real: FY25 was an operational trough, interest costs are rising, and the promoter stake reduction is unresolved. Size positions to allow for 20-30% drawdowns while the JSW order executes.

- Entry strategy: accumulate on dips toward Rs. 8,500-9,000 for better risk/reward. Stop-loss: Rs. 7,500 (below which the order-book thesis breaks structurally). Suggested maximum allocation: 3-5% for a diversified portfolio.

- Bull case (Rs. 16,000+): JSW executes on schedule + 2 new large orders + H2 JV financial close in CY26 + institutional discovery.

- Bear case (Rs. 6,000-7,000): JSW delays materially + H2 timeline slips 2+ years + balance-sheet stress forces a rights issue.